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October 19, 2023

Kristen Monaco, Director
Federal Maritime Commission
Bureau of Trade Analysis
800 North Capitol Street, N.W.
Washington, D.C. 20573
tradeanalysis@fmc.gov

Re: Request for Special Permission to Implement War Risk Surcharge

Dear Director Monaco:

We write on behalf of our client, Turkon Container Transportation & Shipping, Inc. (“Turkon”), to request special permission pursuant to 46 C.F.R. § 520.14 to implement a war risk surcharge on all shipments between Israeli and U.S. ports effective immediately upon publication. For the reasons described below, there is good cause for imposition of this charge on less than 30 days notice.

As the conflict in Israel escalates, Turkon intends to continue to serve its customers by making continued port calls in Haifa and Ashdod as long as possible. However, Turkon’s underwriters are imposing war risk premiums for these port calls effective immediately. Turkon has been advised that the war risk premium required will be re-evaluated every 24 hours and may be adjusted each 24 hours as the conflict escalates further.

The war risk premiums now being imposed on Turkon’s vessels for port calls in Israel are substantial, particularly for calls in Ashdod. At this time, reports indicate that the conflict in Israel will continue for some time and is expected to worsen. As a result, Turkon will be required to pay significant war risk premiums for calls in Israel for the foreseeable future. Turkon would like to offset some of this additional cost by implementing a war risk surcharge as soon as possible. The war risk surcharge will recoup a portion of the war risk premium being paid by Turkon for each port call in Israel. Turkon will not in any way make any profit on the war risk surcharge. Without ability to recoup at least a portion of the war risk premium, Turkon may not be able to continue to serve Israeli ports.

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The surcharge will be set forth in Turkon's tariff, Tariff No. 10.12 , Org. No. 014782 , as follows:

USD 90 per TEU

Accordingly, Turkon respectfully requests that FMC expeditiously grant special permission to implement the above surcharge effective immediately upon publication. If you have any questions or require additional information, please do not hesitate to contact me.

Sincerely,



Dana S. Merkel